Pay-Fixed GBP SONIA OIS — Isolating the September 2026 BoE Hike

Positioning for the BoE's cleanest hike decision, not its noisiest one

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1. Trade Recommendation

RECOMMENDATION: PAY FIXED GBP SONIA OIS, ISOLATED TO THE 17 SEPTEMBER MPC

Structure: Pay fixed on a GBP SONIA OIS, effective 1 Aug 2026, maturing 31 Dec 2026 (spans the Sept 17 decision and its persistence through year-end); receive compounded SONIA.

View: The probability of a 25bp hike to 4.00% by the September meeting is mispriced too low at ~50% given the renewed oil shock, the doubling of hawkish MPC dissent since April, and record-high household inflation expectations — while the market is correctly discounting July (18%) as a low-conviction 'wait and see' meeting.

Entry (illustrative): ~3.84% weighted fixed rate (~9bp over current 3.75% Bank Rate), implied by 50% probability of +25bp landing in the back two-thirds of the swap.

Target / Breakeven: Trade is breakeven at a 50% realized/re-priced hike probability; targets re-pricing toward 70–80% into the 30 July MPR and August data, or outright delivery at the 17 Sept decision.

This structure deliberately does **not** bet on the 30 July meeting. Market pricing of 18% for July is consistent with the BoE's own stated reaction function (Bailey, Breeden: “wait and see,” “no need to rush”) and with the fact that June/July CPI prints will only partially reflect this week's Hormuz escalation. Trying to trade July directly means paying for optionality on a meeting the Committee has all but pre-committed to holding. September is the cleaner catalyst: two more CPI prints, a fresh Monetary Policy Report in August, updated wage-settlement signals for 2027, and — if oil stays elevated — a Committee whose hawkish wing has grown in every meeting since April.

2. Why September, Not July — The Core Asymmetry

	30 July MPC	17 September MPC
Market-implied hike probability	~18%	~50%
CPI data in hand by decision	May print only (2.8%); June print (22 Jul) lands 8 days before — thin absorption window	May, June, and July prints all digested; August MPR fully updated for the renewed oil shock
Monetary Policy Report	New MPR published alongside decision — energy assumptions likely to lag this week's escalation	Benefits from the August MPR's updated energy path and a full quarter of pass-through evidence
BoE communicated bias	Bailey (30 Jun): “wait and see” on shock duration; Breeden: “no need to rush”	Mann has flagged H2 wage-negotiation and inflation-expectations data as “particularly important” for her vote
Vote-split momentum	8–1 (Apr) → 7–2 (Jun): hawkish dissent already doubled once	Third consecutive hawkish-leaning meeting; Mann's stated hike triggers (expectations, wages) plausibly met by Sept

The asymmetry is the trade: July is priced correctly-ish (low probability, consistent with a Committee that has explicitly signalled patience); September is where the incoming data, the energy shock, and the Committee's own internal trajectory converge. A trade that pays for July risk is paying for an event the MPC has already told the market it intends to look through.

3. Macro Backdrop

3.1 Inflation (CPI)

- Headline CPI: **2.8%** in May 2026 (unchanged from April), still above the 2% target; core CPI **2.6%**; RPI 3.1%.
- **Services inflation — the MPC's preferred underlying gauge — rose to 3.7% in May, up from 3.2% in April**, the single most hawkish datapoint in the print and the one most directly tied to domestically-generated (not import) inflation.
- The BoE's own June forecast (based on energy pricing as of 15 June, i.e. *before* this week's renewed strikes) sees CPI at "a little under 3%" in Q3 2026 and "a little over 3¼%" in Q4 — a forecast that is now arguably stale to the downside given Brent's move back above $85/bbl.
- Governor Bailey told CNBC on 30 June that inflation could rise to "around 3.2%" later this year purely on the lagged pass-through of the household energy price cap — a mechanical, near-certain channel independent of any further oil moves.
- Household one-year-ahead inflation expectations hit a **record 4%** in the BoE's May survey (5-year-ahead: 3.9%) — double the target and the exact metric Catherine Mann has named as her personal trigger for an "activist" hike.

3.2 Growth (GDP)

- UK GDP grew **+0.6% q/q in Q1 2026** (strongest since Q1 2025), led by services (+0.8%); annual growth +1.1% y/y, ahead of the +0.8% consensus.
- But the composite PMI slipped **below the 50 no-change mark in May** for the first time in over a year, and job vacancies fell to a five-year low of ~707k — a growth picture that is cooling into H2 even as headline Q1 GDP surprised to the upside.
- Net effect: growth is resilient enough that the MPC is not forced to cut, but not so strong that it removes the 'trade-off' language the Committee's remit explicitly invokes for a negative supply shock (higher inflation, weaker activity, judged path back to target).

3.3 Labour Market

- Unemployment: **4.9%** (Feb–Apr 2026), up 0.3pp y/y but down 0.3pp q/q — a noisy, two-sided signal rather than a clean deterioration.
- Regular pay growth: **+3.4% y/y** (private-sector AWE, adjusted for industry mix, running closer to ~3.4–3.9%); total pay incl. bonuses +4.4%. The Bank's Agents still expect average 2026 private-sector pay settlements of **3.5%** — above the ~2–3% range generally seen as target-consistent.
- Youth unemployment is at a decade-high **16.2%** and vacancies are at a five-year low — the clearest evidence of labour-market slack the doves can point to, and the main counterweight to the inflation-side hawkish case.
- Mann's own read: "fine-grained" labour data looks less weak than the 4.9% headline implies — a hawkish framing of the same numbers the doves cite as evidence of slack.

3.4 Oil / Energy — the Swing Factor

- Brent averaged **~$100/bbl** between the April and June MPR windows (vs. $66 pre-conflict), peaking near **$121** intraday on 30 April; it eased toward the high-$70s by 10 July on ceasefire hopes.
- **This week (13–15 July), renewed US strikes on Iran and a reinstated US naval blockade of the Strait of Hormuz have pushed Brent back above $85/bbl**, up roughly $9 in two sessions — precisely the kind of 'sporadic continuance' scenario the June MPC minutes flagged as a trigger for a hawkish policy response.
- UK CPI has a well-documented, largely mechanical sensitivity to Brent via fuel prices and the household energy price cap (with a multi-month lag) — the same channel Bailey cited for his own ~3.2% CPI expectation, now before the latest leg higher is even reflected.
- This is the single biggest swing factor for the trade in either direction: a durable ceasefire unwinds the whole thesis; a prolonged Hormuz disruption is the fastest route to the Sept hike probability re-pricing well above 50%.

4. BoE Reaction Function — Speaker Read-Through

The Committee's own communication over June–July already shows the fault line the trade is built on: a majority comfortable waiting, and a hawkish minority that has grown at every meeting since the conflict began.

Member / Vote	June 17 vote	Read-through
Andrew Bailey, Governor	Hold	Sintra (30 Jun): CPI “could go up to 3.2%” later this year purely on the lagged energy-cap pass-through; stressed the remit's explicit trade-off language for a negative supply shock, and genuine uncertainty over whether the Iran ceasefire holds.
Sarah Breeden, Dep. Gov.	Hold	Financial conditions have already tightened materially since the conflict began, doing some of the Committee's work for it; publicly: “no need to rush,” “should not be trigger-happy on rates.”
Catherine L. Mann	Hold	The Committee's most explicit hawk. 2 July: ready to vote for an “activist” hike if inflation expectations stay unfavourable; flagged H2 wage-negotiation and one-year-ahead expectations data as decisive for her next vote; noted the *loosening* of hike pricing since June (before this week's oil move) as a reason tightening may be needed sooner, not later.
Huw Pill, Chief Economist	Hike to 4.00% (dissent)	Raising Bank Rate to 4% is “the most robust monetary policy response” to intensifying upside risks from the Gulf; concerned second-round effects persist even with a looser labour market.
Megan Greene	Hike to 4.00% (dissent)	Joined Pill in dissent in June — the hawkish minority doubled from one dissenter in April to two in June.

The trajectory matters more than the June hold itself: the hawkish minority went from 1-of-9 in April to 2-of-9 in June. Mann — who held in June partly because tighter market-implied rate expectations were already doing policy work for her — explicitly warned on 2 July that a subsequent *loosening* of those expectations would argue for actual tightening. This week's oil-driven repricing is the mirror image of the loosening she was describing, and it lands directly on her stated reaction function.

5. Trade Structure & Mechanics

Parameter	Detail
Instrument	GBP SONIA OIS (pay fixed / receive compounded daily SONIA)
Effective date	1 August 2026 (day after the July MPC decision — deliberately excludes July event risk from the payoff)
Maturity	31 December 2026 (captures the Sept 17 decision and its persistence through Nov 5 / Dec 17)
Illustrative entry (fixed)	~3.84% — a ~9bp premium to the current 3.75% Bank Rate, consistent with a 50% probability of +25bp arriving roughly two-thirds of the way through the swap's life
Notional (illustrative)	£50mm (scale to desk risk limits / VaR budget)
Approx. DV01	~£2,095 per basis point (153-day swap; DV01 ≈ Notional × (days/365) × 0.0001)
Breakeven	50% realized/implied probability of a 25bp Sept hike — i.e. the trade needs the market's own current pricing to be right at minimum, and profits if the true probability is higher
Refinement (optional)	Meeting-spread overlay: receive fixed on a July-dated OIS leg (cheap, ~18% priced) against the September-dated payer leg, to strip out residual July event risk and reduce funding cost of carry
Liquid proxy / hedge	Short (sell) Dec-26 3M SONIA futures as a more liquid, exchange-traded approximation if bespoke meeting-dated OIS liquidity is a constraint

6. Scenario Analysis (Illustrative, £50mm Notional)

Flat-compounding approximation for illustration only; ignores intra-period convexity, Nov/Dec meeting-specific probability layering, and OIS day-count conventions. Desk pricing should be re-run on the curve at execution.

Scenario	Sept hike probability	Approx. fair fixed	P&L vs. 3.84% entry
Hike delivered / probability → 100%	100%	~3.92%	+~£18,200
Probability re-prices 50% → 75% (pre-meeting mark-to-market)	75%	~3.88%	+~£9,000
No change — realized at entry level	50%	~3.84%	£0 (breakeven)
Probability re-prices 50% → 25% (de-escalation)	25%	~3.79%	–~£9,400
Hold delivered / probability → 0%	0%	~3.75%	–~£18,100

The position is symmetric around the market's current 50% pricing by construction — the trade is a directional view that probability re-prices higher, not a free option. Sizing and stop discipline should reflect that this is a conviction trade on an event with genuine two-way risk, not an asymmetric carry trade.

7. Key Risks & Invalidation

- **De-escalation risk (primary):** a durable Iran–US ceasefire or reopening of Hormuz would quickly unwind the oil-driven leg of the thesis, exactly as the earlier April–June ceasefire attempt did — Brent has round-tripped from ~$121 to ~$58.66 and back to ~$87 within the past twelve months.
- **Institutional inertia:** Bailey and Breeden have both explicitly signalled patience (“wait and see,” “no need to rush”); a Committee majority genuinely comfortable holding through September on “we've seen this before, it faded last time” logic is a real scenario, not a tail risk.
- **Growth deterioration:** a sharp downside surprise in Q2/Q3 GDP, a further leg down in vacancies, or a spike in unemployment would strengthen the doves' hand under the remit's explicit growth/inflation trade-off language.
- **Political/fiscal risk (two-sided):** a change in UK leadership (Starmer's position is under pressure; Andy Burnham is discussed as a possible successor) could bring looser fiscal policy — supportive of the thesis via inflation — but could equally bring pressure for a more dovish policy stance; direction is genuinely unclear and should not be assumed in either direction.
- **Basis/liquidity:** bespoke meeting-dated OIS tenors can trade wide of standard-tenor swaps intraday around event risk; confirm executable pricing and consider the Dec-26 SONIA future as a liquidity backstop.
- **Invalidation trigger:** exit or materially reduce if Brent closes back below ~$75/bbl on a sustained (5+ day) basis and/or the 22 July June-CPI print surprises meaningfully to the downside on services inflation.

8. Catalyst Calendar

Date	Event
22 Jul 2026	UK CPI, June 2026 (ONS)
30 Jul 2026	BoE MPC decision + new Monetary Policy Report (market-implied ~18% hike probability)
19 Aug 2026 (approx.)	UK CPI, July 2026 (ONS)
Aug 2026	UK Labour Market Overview — wage settlement and vacancy data Mann has flagged as pivotal
17 Sep 2026	BoE MPC decision (target meeting; market-implied ~50% hike probability)
5 Nov 2026 / 17 Dec 2026	Subsequent MPC decisions — relevant to the tail of the Dec-26 maturity leg

Sources: Bank of England (June 2026 Monetary Policy Summary & Minutes; speeches by A. Bailey, C. Mann, S. Breeden); ONS (GDP, CPI, Labour Market releases, May/June 2026); Reuters, CNBC, Trading Economics, Cambridge Currencies market-pricing commentary (as of 15 Jul 2026). All figures illustrative; verify live levels and desk risk limits before execution. This document is an internal trade idea, not investment advice, and does not *constitute a solicitation.*